

Meta Platforms, Inc.

Recommendation **BUY** ★★★★★

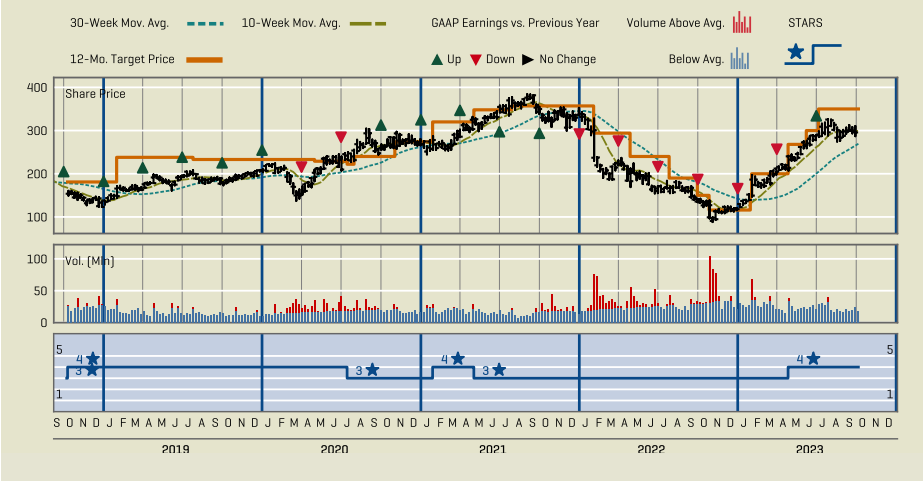
Price USD 315.43 [as of market close Oct 06, 2023] 12-Mo. Target Price USD 350.00 Report Currency USD Investment Style Large-Cap Growth

Equity Analyst **Angelo Zino, CFA**

GICS Sector Communication Services Summary META operates the largest social networks in the world, including “core” Facebook, Sub-Industry Interactive Media and Services Messenger, Instagram, and WhatsApp, with more than 1.6 billion daily active users.

| Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports) |                   |                          |           |                            |            |                             |  |  |      |
|----------------------------------------------------------------------------------------------|-------------------|--------------------------|-----------|----------------------------|------------|-----------------------------|--|--|------|
| 52-Wk Range                                                                                  | USD 326.2 - 88.09 | Oper.EPS2023E            | USD 12.30 | Market Capitalization[B]   | USD 811.65 | Beta                        |  |  | 1.21 |
| Trailing 12-Month EPS                                                                        | USD 8.58          | Oper.EPS2024E            | USD 14.75 | Yield [%]                  | N/A        | 3-yr Proj. EPS CAGR[%]      |  |  | 34   |
| Trailing 12-Month P/E                                                                        | 36.76             | P/E on Oper.EPS2023E     | 25.64     | Dividend Rate/Share        | N/A        | SPGMI's Quality Ranking     |  |  | B    |
| USD 10K Invested 5 Yrs Ago                                                                   | 20,049.0          | Common Shares Outstg.[M] | 2,598.00  | Trailing 12-Month Dividend | N/A        | Institutional Ownership [%] |  |  | 66.0 |

Price Performance



Source: CFRA, S&P Global Market Intelligence  
Past performance is not an indication of future performance and should not be relied upon as such.  
Analysis prepared by **Angelo Zino, CFA** on Jul 26, 2023 06:07 PM ET, when the stock traded at **USD 298.57**.

Highlights

- We forecast revenue to grow 10% in '24 and 7.8% in '25, after our view for 12% growth in '23. META appears to be retaking share, with sales rising 11% in Q2 (accelerating from the 2.6% pace in Q1), as daily average users/DAUs increased 5% while the ad spending landscape appears to be holding up much better than previously anticipated. We are more optimistic about META's initiatives toward a content-driven discovery platform (rather than organized solely on people/accounts), with a greater emphasis on shorter form videos (Reels to stop cannibalizing longer form videos in '24). We like AI initiatives to improve rankings/ recommendations.
- Aggressive cost cuts expanded Q2 operating margin to 29% from 20% in Q4 (matching the figure from a year earlier), and we see further improvement given only half the employee cuts from its 2023 stated plan have been reflected (round 2 of cuts). Stable ad spend/easier comps will support higher 2H margin (op. margin +32% exiting 2023) as revenue growth outstrips costs.
- We think META is looking to retool to better serve young adults (ages 18-29) as DAUs grow at a low-single-digit percentage. We view an announced \$40B buyback in early February as an additional positive.

Investment Rationale/Risk

- Our Buy rating reflects META's attractive valuation, its slew of opportunities (AI, metaverse, Reels), and improving margin trajectory. We think recent dollar weakness, as well as favorable comparisons, creates a healthy setup for META, while a greater focus on cost cuts improves the longer-term margin/FCF profile. We like growth tied to Reels, click-to-message ads, a greater AI-driven ad platform, and metaverse initiatives. We positively view improving FCF (we estimate +\$30B in 2024) and greater cash usage towards buybacks (net cash of \$41 billion; holding at least a cash neutral position). A TikTok ban in the U.S. (not our base case) would act as a catalyst.
- META faces regulatory risks that could potentially dovetail with social user and/or advertiser backlash, especially against its “hands off” editorial approach to content. Other risks are lower user engagement and an inability to attract the younger generation across its ecosystem.
- Our 12-month target of \$350 is based on a P/E of 21.9x our 2025 EPS view of \$16, near META's five-year historical forward average. We are optimistic about the ongoing shift towards digital ad spend and see ways to generate non-ad revenue by leveraging its 2B DAUs.

Analyst's Risk Assessment

| LOW | MEDIUM | HIGH |
|-----|--------|------|
|-----|--------|------|

Our risk assessment reflects changing technologies and tastes, considerable competitive threats, and legal and regulatory issues, only partly offset by what we view as attractive global brands and platforms as well as multiple monetization opportunities.

Revenue/Earnings Data

| Revenue (Million USD) |          |          |          |          |           |
|-----------------------|----------|----------|----------|----------|-----------|
|                       | 1Q       | 2Q       | 3Q       | 4Q       | Year      |
| 2025                  | --       | --       | --       | --       | E 155,385 |
| 2024                  | E 32,946 | E 34,970 | E 35,275 | E 41,011 | E 144,202 |
| 2023                  | 28,645   | 31,999   | E 33,000 | E 37,396 | E 131,041 |
| 2022                  | 27,908   | 28,822   | 27,714   | 32,165   | 116,609   |
| 2021                  | 26,171   | 29,077   | 29,010   | 33,671   | 117,929   |
| 2020                  | 17,737   | 18,687   | 21,470   | 28,072   | 85,966    |

| Earnings Per Share (USD) |        |        |        |        |         |
|--------------------------|--------|--------|--------|--------|---------|
|                          | 1Q     | 2Q     | 3Q     | 4Q     | Year    |
| 2025                     | E 3.40 | E 3.80 | E 4.05 | E 4.75 | E 16.00 |
| 2024                     | E 3.50 | E 3.60 | E 3.60 | E 4.40 | E 14.75 |
| 2023                     | 2.20   | 2.98   | E 3.03 | E 4.09 | E 12.30 |
| 2022                     | 2.72   | 2.46   | 1.64   | 1.76   | 8.59    |
| 2021                     | 3.30   | 3.61   | 3.22   | 3.67   | 13.77   |
| 2020                     | 1.71   | 1.80   | 2.40   | 3.88   | 10.09   |

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

No cash dividends have been paid in the last year.



**Meta Platforms, Inc.**

**Business Summary** Jul 26, 2023

**CORPORATE OVERVIEW.** Meta Platforms, Inc. is the world’s largest social media company and is a classic two-sided platform with an advertising-based business model. Individuals use its platforms for free, creating their own pages, linking with “friends,” attracting “followers,” posting/sharing content [text, photos, videos], and commenting on that content—all of which enables more precise targeting of ads relevant to users’ interests and more in-depth measurement and analysis of ad campaigns.

META reports financial results for two segments: Family of Apps (FoA) and Reality Labs (RL). For FoA, META generates substantially all of its revenue from selling advertising placements to marketers. Ads on its platforms enable marketers to reach people based on a variety of factors including age, gender, location, interests, and behaviors. Marketers purchase ads that can appear in multiple places including on Facebook, Instagram, Messenger, and third-party applications and websites. RL generates revenue from sales of consumer hardware products, software, and content.

Alphabet and META are believed to have captured about 48.4% of all U.S. digital ad revenue in 2022, with about 28.8% for Google and 19.6% for META, down from 54.7% at the peak in 2017 [34.7% for Google and 20.0% for Meta], per data from Insider Intelligence. In 2012, META was the first social network to hit 1 billion Monthly Active Users (MAUs). By the end of December 2022, META had 2.96 billion MAUs, around one-third of all humans, across its four social networks [Facebook, Messenger, Instagram, and WhatsApp], albeit with significant overlap.

**COMPANY HISTORY.** Mark Zuckerberg founded Facebook in 2004 at Harvard with Eduardo Saverin, Andrew McCollum, Dustin Moskovitz, and Chris Hughes, inspired by building an online version of Harvard’s “face book” of student profiles. META quickly grew beyond Harvard, but prospective membership was expanded in stages: Columbia, Stanford, and Yale were invited first; then other Ivies; then Boston schools; North American schools; and, finally, everybody in the world in 2006. This staged approach created cache and anticipation around membership and enabled the system to scale in manageable increments to maintain performance.

In 2006, META added the News Feed, an early key to success that gave users a compelling reason, even “compulsion,” to constantly return to check their friends’ updates, memes, etc. This contrasted with the static content of MySpace, which had 200 million users when META passed it in 2008. Photo-tagging was another key, jacking up user engagement when it was added in 2010 and turbocharged by the proliferation of smartphones with digital cameras. By 2012, users were uploading and accessing photos way more than expected, noticeably slowing performance. This prompted META to invest \$2 billion+ to transition completely from slower mechanical hard drives to solid state storage by 2014.

META is not as acquisitive as its Big Tech peers, but two deals, Instagram in 2012 for \$1 billion and WhatsApp in 2014 for \$19 billion, had a major impact, becoming two of META’s four social networks. Another acquisition, Oculus in 2014 for \$2 billion, holds considerable potential as the leading consumer virtual reality platform.

**REGULATORY RISK.** META faces serious and intensifying regulatory risks that appear to be dovetailing with and fueled by a broader public backlash, especially in the U.S. While “reg risk” is now higher for all Big Tech, we view META as most vulnerable. For years, META has de-emphasized and neglected government relations [GR, i.e., “lobbying”], reflected in its inconsistent and incompetent GR efforts to date, often appearing hostile to government concerns in the U.S., the E.U., and Australia. In our view, META’s instinct toward hostility and grievance seems to leave it one step behind and out of sync. At times, it appears other Big Tech members are setting META up to take the full brunt of the likely coming legal changes that could potentially restrict its business far more intrusively or even force a break-up of the company.

We highlight that Congress is taking aim at Big Tech through a number of bipartisan bills that look to rein in META, Google, Amazon, and Apple by trying to curtail the capabilities of their online businesses along with other lines of business that kill competition. We expect to see greater traction on this subject over the next year. We also expect a refiled antitrust lawsuit against Facebook, with the new complaint providing additional details to support the FTC’s “personal social networking” market definition and META monopoly power.

**FINANCIAL TRENDS.** META’s product is the attention of its users, which are kept riveted by royalty-free content those same users create. Therefore, despite regulatory risk, META is inherently a very profitable business, increasingly so with scale. In early 2023, META announced plans to reduce 2023 expenses to \$89 billion-\$95 billion [previously \$94 billion-\$100 billion] and capex to \$30 billion-\$33 billion [prior \$34 billion-\$37 billion]. Reality Labs is losing about \$20 billion [currently annual run rate], which is likely to remain a headwind.

For years now, advertising has generated 95%+ of total revenue. However, when META IPO’d in 2012, 16% of revenue came from third-party apps and games, almost all of which came from in-game purchases on Zynga’s social free-to-play game, Farmville. We think it is important to note that META has demonstrated other monetization methods [e.g., “social” shopping, payments, subscriptions for specific groups or activities] given that it may need to diversify in response to governmental and social pressures. Nevertheless, META’s growth will be likely ad-based for years to come, as it continues to ride the “big shift” of ad spend from traditional media [TV, radio, print] to online/mobile platforms. It was not until 2019 when global online/mobile ad revenue passed traditional media and represented about two-thirds of the total ad space in 2022.

META had total cash and equivalents along with long-term investments of \$59.7 billion at the end of June 2023, along with \$18.3 billion of debt.

**Corporate information**

|                                                                  |                                                   |
|------------------------------------------------------------------|---------------------------------------------------|
| <b>Investor contact</b><br>D. T. Crawford [650 543 4800]         |                                                   |
| <b>Office</b><br>1601 Willow Road, Menlo Park, California, 94025 |                                                   |
| <b>Telephone</b><br>650 543 4800                                 |                                                   |
| <b>Fax</b><br>N/A                                                |                                                   |
| <b>Website</b><br>investor.fb.com                                |                                                   |
| <b>Officers</b>                                                  |                                                   |
| <b>Chief Legal Officer</b><br>J. G. Newstead                     | <b>Chief Operating Officer</b><br>J. Olivan       |
| <b>Founder, Chairman &amp; CEO</b><br>M. E. Zuckerberg           | <b>Chief Accounting Officer</b><br>A. A. Anderson |
| <b>Chief Financial Officer</b><br>S. S. Li                       | <b>Chief Technology Officer</b><br>A. Bosworth    |
| <b>Board Members</b>                                             |                                                   |
| A. W. Houston                                                    | R. M. Kimmitt                                     |
| M. E. Zuckerberg                                                 | S. K. Sandberg                                    |
| M. L. Andreessen                                                 | T. T. Travis                                      |
| N. Killefer                                                      | T. Xu                                             |
| P. M. Alford                                                     |                                                   |
| <b>Domicile</b><br>Delaware                                      | <b>Auditor</b><br>Ernst & Young LLP               |
| <b>Founded</b><br>2004                                           |                                                   |
| <b>Employees</b><br>71,469                                       |                                                   |
| <b>Stockholders</b><br>N/A                                       |                                                   |



Meta Platforms, Inc.

| Quantitative Evaluations |         |                                                                                                                     |   |         |         | Expanded Ratio Analysis |                                 |             |          |          |          |      |
|--------------------------|---------|---------------------------------------------------------------------------------------------------------------------|---|---------|---------|-------------------------|---------------------------------|-------------|----------|----------|----------|------|
| Fair Value Rank          | NR      | 1                                                                                                                   | 2 | 3       | 4       | 5                       |                                 | 2022        | 2021     | 2020     | 2019     |      |
|                          |         | LOWEST                                                                                                              |   |         | HIGHEST |                         |                                 | Price/Sales | 2.79     | 8.15     | 9.18     | 8.35 |
|                          |         | Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5]. |   |         |         |                         | Price/EBITDA                    | 7.70        | 17.57    | 19.96    | 17.00    |      |
|                          |         |                                                                                                                     |   |         |         |                         | Price/Pretax Income             | 11.28       | 20.34    | 23.78    | 23.79    |      |
|                          |         |                                                                                                                     |   |         |         |                         | P/E Ratio                       | 14.01       | 24.43    | 27.07    | 23.98    |      |
|                          |         |                                                                                                                     |   |         |         |                         | Avg. Diluted Shares Outstg. [M] | 2,702.00    | 2,859.00 | 2,888.00 | 2,876.00 |      |
|                          |         | Figures based on fiscal year-end price                                                                              |   |         |         |                         |                                 |             |          |          |          |      |
| Volatility               |         | LOW                                                                                                                 |   | AVERAGE |         | HIGH                    |                                 |             |          |          |          |      |
| Technical Evaluation     | BULLISH | Since May, 2023, the technical indicators for META have been BULLISH"                                               |   |         |         |                         |                                 |             |          |          |          |      |
| Insider Activity         |         | UNFAVORABLE                                                                                                         |   | NEUTRAL |         | FAVORABLE               |                                 |             |          |          |          |      |
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|                          |         |                                                                                                                     |   |         |         |                         |                                 |             |          |          |          |      |
|                          |         |                                                                                                                     |   |         |         |                         |                                 |             |          |          |          |      |
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|                          |         |                                                                                                                     |   |         |         |                         |                                 |             |          |          |          |      |
|                          |         |                                                                                                                     |   |         |         |                         |                                 |             |          |          |          |      |
|                          |         |                                                                                                                     |   |         |         |                         |                                 |             |          |          |          |      |
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|                          |         |                                                                                                                     |   |         |         |                         |                                 |             |          |          |          |      |
|                          |         |                                                                                                                     |   |         |         |                         |                                 |             |          |          |          |      |
|                          |         |                                                                                                                     |   |         |         |                         |                                 |             |          |          |          |      |
|                          |         |                                                                                                                     |   |         |         |                         |                                 |             |          |          |          |      |

| Company Financials Fiscal year ending Dec 31         |  |         |         |         |         |        |        |        |        |        |        |
|------------------------------------------------------|--|---------|---------|---------|---------|--------|--------|--------|--------|--------|--------|
| Per Share Data [USD]                                 |  | 2022    | 2021    | 2020    | 2019    | 2018   | 2017   | 2016   | 2015   | 2014   | 2013   |
| Tangible Book Value                                  |  | 39.98   | 38.32   | 38.12   | 28.56   | 22.61  | 18.67  | 13.35  | 8.10   | 5.11   | 5.42   |
| Free Cash Flow                                       |  | 7.09    | 13.85   | 8.27    | 7.43    | 5.31   | 6.03   | 4.06   | 2.78   | 2.10   | 1.18   |
| Earnings                                             |  | 8.59    | 13.77   | 10.09   | 6.43    | 7.57   | 5.39   | 3.49   | 1.29   | 1.10   | 0.60   |
| Earnings [Normalized]                                |  | 8.59    | 13.77   | 10.09   | 8.56    | 7.57   | 6.16   | 4.23   | 2.28   | 1.77   | 0.88   |
| Dividends                                            |  | N/A     | N/A     | N/A     | N/A     | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    |
| Payout Ratio [%]                                     |  | NM      | NM      | NM      | NM      | NM     | NM     | NM     | NM     | NM     | NM     |
| Prices: High                                         |  | 343.44  | 384.33  | 304.67  | 208.93  | 218.62 | 184.25 | 133.50 | 110.65 | 82.17  | 58.58  |
| Prices: Low                                          |  | 88.09   | 244.61  | 137.10  | 128.56  | 123.02 | 115.51 | 89.37  | 72.00  | 51.85  | 22.67  |
| P/E Ratio: High                                      |  | 40.00   | 27.90   | 30.20   | 24.40   | 28.90  | 29.90  | 31.60  | 48.50  | 46.40  | 66.60  |
| P/E Ratio: Low                                       |  | 10.30   | 17.80   | 13.60   | 15.00   | 16.30  | 18.80  | 21.10  | 31.60  | 29.30  | 25.80  |
| Income Statement Analysis [Million USD]              |  |         |         |         |         |        |        |        |        |        |        |
| Revenue                                              |  | 116,609 | 117,929 | 85,965  | 70,697  | 55,838 | 40,653 | 27,638 | 17,928 | 12,466 | 7,872  |
| Operating Income                                     |  | 33,555  | 46,753  | 32,671  | 28,986  | 24,913 | 20,203 | 12,427 | 6,225  | 4,994  | 2,921  |
| Depreciation + Amortization                          |  | 8,686   | 7,967   | 6,862   | 5,741   | 4,315  | 3,025  | 2,342  | 1,945  | 1,243  | 1,011  |
| Interest Expense                                     |  | N/A     | N/A     | N/A     | N/A     | N/A    | 6.00   | 10.00  | 23.00  | 23.00  | 56.00  |
| Pretax Income                                        |  | 28,819  | 47,284  | 33,180  | 24,812  | 25,361 | 20,594 | 12,518 | 6,194  | 4,910  | 2,754  |
| Effective Tax Rate                                   |  | 19.50   | 16.70   | 12.20   | 25.50   | 12.80  | 22.60  | 18.40  | 40.50  | 40.10  | 45.50  |
| Net Income                                           |  | 23,200  | 39,370  | 29,146  | 18,485  | 22,112 | 15,934 | 10,217 | 3,688  | 2,940  | 1,500  |
| Net Income [Normalized]                              |  | 21,173  | 29,553  | 20,738  | 18,633  | 15,851 | 12,871 | 7,824  | 3,871  | 3,069  | 1,794  |
| Balance Sheet and Other Financial Data [Million USD] |  |         |         |         |         |        |        |        |        |        |        |
| Cash                                                 |  | 40,738  | 47,998  | 61,954  | 54,855  | 41,114 | 41,711 | 29,449 | 18,434 | 11,199 | 11,449 |
| Current Assets                                       |  | 59,549  | 66,666  | 75,670  | 66,225  | 50,480 | 48,563 | 34,401 | 21,652 | 13,390 | 13,070 |
| Total Assets                                         |  | 185,727 | 165,987 | 159,316 | 133,376 | 97,334 | 84,524 | 64,961 | 49,407 | 39,966 | 17,895 |
| Current Liabilities                                  |  | 27,026  | 21,135  | 14,981  | 15,053  | 7,017  | 3,760  | 2,875  | 1,925  | 1,424  | 1,100  |
| Long Term Debt                                       |  | 9,923   | N/A     | N/A     | N/A     | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    |
| Total Capital                                        |  | 152,991 | 138,752 | 138,944 | 111,378 | 84,627 | 74,347 | 59,194 | 44,533 | 36,329 | 15,946 |
| Capital Expenditures                                 |  | 31,431  | 18,690  | 15,163  | 15,102  | 13,915 | 6,733  | 4,491  | 2,523  | 1,831  | 1,362  |
| Cash from Operations                                 |  | 50,475  | 57,683  | 38,747  | 36,314  | 29,274 | 24,216 | 16,108 | 10,320 | 7,326  | 4,222  |
| Current Ratio                                        |  | 2.20    | 3.15    | 5.05    | 4.40    | 7.19   | 12.92  | 11.97  | 11.25  | 9.40   | 11.88  |
| % Long Term Debt of Capitalization                   |  | 6.50    | N/A     | N/A     | N/A     | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    |
| % Net Income of Revenue                              |  | 19.90   | 33.40   | 33.90   | 26.10   | 39.60  | 39.20  | 37.00  | 20.60  | 23.60  | 19.10  |
| % Return on Assets                                   |  | 11.93   | 17.97   | 13.95   | 15.70   | 17.12  | 16.89  | 13.58  | 8.71   | 10.79  | 11.06  |
| % Return on Equity                                   |  | 18.50   | 31.10   | 25.40   | 20.00   | 27.90  | 23.90  | 19.80  | 9.20   | 11.40  | 11.00  |

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Meta Platforms, Inc.

Sub-Industry Outlook

We have a positive fundamental outlook for the Interactive Media & Services sub-industry over the next 12 months, reflecting margin expansion potential and earnings leverage from the previously announced employee headcount reductions [e.g., Meta Platforms [META] -24% of its workforce; Alphabet [GOOGL] -6%] for the remainder of 2023 and 2024. In addition, we like easier comparisons that we see ahead, greater revenue opportunities from the emergence of generative artificial intelligence [AI], and ongoing share shift to the digital ad market.

According to Magna Global, total global digital ad spending is forecasted to reach \$577 billion in 2023 [69% of total media ad spend], growing 8.5%; we anticipate a similar growth pace of 8%-9% in 2024. This compares to the 9% increase in 2022. Long term, we note the ongoing shift of total global advertising spend from traditional broadcast TV/radio and print media to Internet/digital media. This shift is driven by the increasing time consumers spend on Internet/digital vs. traditional media and by the superior return on investment [ROI] of Internet/digital for the advertisers due to more precise targeting, richer feedback, and a more efficient ad buying process that is mostly auction-based and increasingly programmatic. We expect the increasing application of machine/deep learning techniques to generate even higher ROI.

We expect revenue growth to accelerate for social media participants GOOGL, META, Snapchat [SNAP], and Pinterest [PINS] after showing growth rates temper down since the end of the pandemic. While customer budgets remain relatively resilient and advertisers have increasingly focused on larger platform providers amid a tougher macro backdrop, we see greater competitive pressures from new ad-based driven platforms [e.g., Netflix]. This comes at a time when the digital ad pie is growing much slower, which will have negative implications for the long-term outlook for existing players. Despite this, new AI capabilities should improve targeting capabilities and engagement levels amid a still-growing digital ad market.

GOOGL and META capture a majority of digital ad revenue, while Amazon [AMZN] is poised to take considerable share, creating a triopoly. Together, GOOGL and META dominate digital/online advertising, holding more than 60% of the global online/digital advertising market with what might be called monopolistic power in their respective search and social media businesses, at least outside of China. Within the \$250 billion-plus U.S. ad market, this triopoly controls nearly two-thirds of the market, with AMZN being the clear share-taker.

We also underscore the tremendous profitability and substantial operating leverage inherent to the businesses in this sub-industry. We note the large adjacent markets into which GOOGL/META are expanding [e.g., GOOGL's enterprise cloud services and META's VR/AR apps] or planning to expand [e.g., autonomous vehicles, drone delivery, payments]. The opportunity we see in this sub-industry is partially offset by the persistent threat of greater regulation regarding alleged antitrust violations and data privacy, with the greatest threat coming from Europe [Digital Markets Act and Digital Services Act].

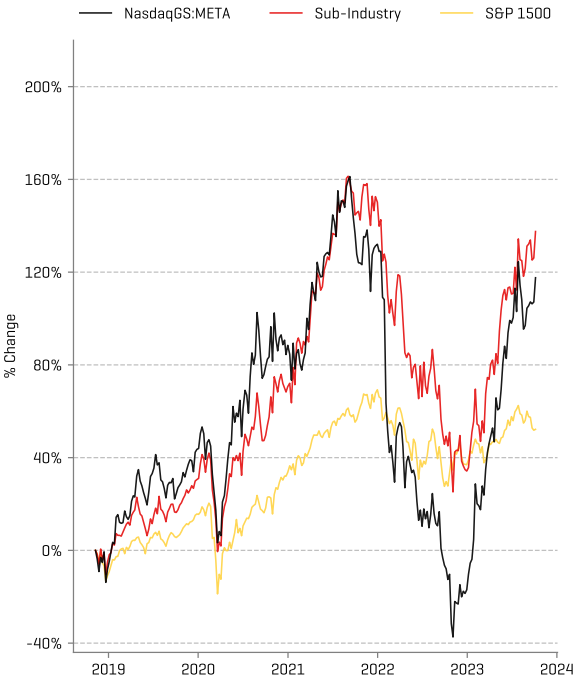
YTD through September 22, the S&P 1500 Interactive Media & Services sub-industry index rose 67.8% vs. an 11.6% rise for the S&P 1500. For the year 2022, the S&P 1500 Interactive Media & Services sub-industry index fell 46.3% vs. a 19.1% decline for the broader S&P 1500.

/ Angelo Zino, CFA

Industry Performance

GICS Sector: Communication Services  
Sub-Industry: Interactive Media and Services

Based on S&P 1500 Indexes  
Five-Year market price performance through Oct 07, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.  
All Sector & Sub-Industry information is based on the Global Industry Classification Standard [GICS].  
Past performance is not an indication of future performance and should not be relied upon as such.  
Source: CFRA, S&P Global Market Intelligence

| Sub-Industry: Interactive Media and Services Peer Group*: Interactive Media and Services |              |          |          |                    |                    |                       |                       |           |                  |           |                      |                |
|------------------------------------------------------------------------------------------|--------------|----------|----------|--------------------|--------------------|-----------------------|-----------------------|-----------|------------------|-----------|----------------------|----------------|
| Peer Group                                                                               | Stock Symbol | Exchange | Currency | Recent Stock Price | Stk. Mkt. Cap. [M] | 30-Day Price Chg. [%] | 1-Year Price Chg. [%] | P/E Ratio | Fair Value Calc. | Yield [%] | Return on Equity [%] | LTD to Cap [%] |
| Meta Platforms, Inc.                                                                     | META         | NasdaqGS | USD      | 304.79             | 784,274.0          | 1.6                   | 119.3                 | 36.0      | N/A              | N/A       | 17.4                 | 10.7           |
| Autohome Inc.                                                                            | ATHM         | NYSE     | USD      | 29.00              | 3,572.0            | -1.1                  | -8.3                  | 13.0      | N/A              | 1.9       | 8.1                  | N/A            |
| Baidu, Inc.                                                                              | BIDU         | NasdaqGS | USD      | 130.10             | 45,479.0           | -8.8                  | 5.6                   | 13.0      | N/A              | N/A       | 6.8                  | 17.9           |
| IAC Inc.                                                                                 | IAC          | NasdaqGS | USD      | 47.84              | 4,107.0            | -12.2                 | -14.7                 | 17.0      | N/A              | N/A       | 3.6                  | 22.7           |
| Kanzhun Limited                                                                          | BZ           | NasdaqGS | USD      | 15.22              | 6,486.0            | -0.8                  | -20.2                 | 136.0     | N/A              | N/A       | 3.1                  | N/A            |
| Match Group, Inc.                                                                        | MTCH         | NasdaqGS | USD      | 36.84              | 10,245.0           | -19.9                 | -27.8                 | 22.0      | 45.93            | N/A       | -149.9               | 102.0          |
| Pinterest, Inc.                                                                          | PINS         | NYSE     | USD      | 27.01              | 18,097.0           | -6.2                  | 9.7                   | 39.0      | N/A              | N/A       | -10.0                | N/A            |
| Snap Inc.                                                                                | SNAP         | NYSE     | USD      | 8.74               | 14,183.0           | -16.4                 | -22.0                 | 42.0      | N/A              | N/A       | -45.5                | 56.2           |
| Yelp Inc.                                                                                | YELP         | NYSE     | USD      | 41.64              | 2,861.0            | -6.7                  | 15.5                  | 70.0      | N/A              | N/A       | 6.0                  | N/A            |
| Ziff Davis, Inc.                                                                         | ZD           | NasdaqGS | USD      | 61.17              | 2,836.0            | -7.0                  | -16.6                 | 30.0      | N/A              | N/A       | 5.3                  | 34.9           |
| ZoomInfo Technologies Inc.                                                               | ZI           | NasdaqGS | USD      | 16.52              | 6,632.0            | -8.8                  | -64.6                 | 54.0      | N/A              | N/A       | 5.5                  | 33.5           |

\*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.  
NA-Not Available; NM-Not Meaningful.  
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

# Meta Platforms, Inc.

## Analyst Research Notes and other Company News

### July 26, 2023

05:42 PM ET... CFRA Maintains Buy Opinion on Shares of Meta Platforms, Inc. [META 298.57\*\*\*\*]:

We keep our target at \$350, on P/E of 21.9x our '25 EPS estimate of \$16 [up from \$15.50], near META's historical forward average. We raise our '23 EPS estimate to \$12.30 from \$11.90 and '24's to \$14.75 from \$14.67. META posts Q2 EPS of \$2.98 vs. \$2.46, beating our \$2.88 estimate. Sales rose a better-than-expected 11% [accelerating from the 2.6% pace in Q1], as daily average users/DAUs grew 5% and the ad spending landscape appears to be holding up better than previously thought. Despite elevated investments related to AI ['23 lowered by \$3B; being pushed into '24], we think META's lower cost structure provides significant earnings leverage through '25 as opex growth likely undershoots revenue. We see a host of opportunities META can capitalize on to monetize AI, including further improving recommendations/ranking system across its platforms as well as utilizing generative AI models to create new products/experiences [e.g., AI agents]. We note net cash of \$35B and see sustained annual FCF of +\$25B annually. / Angelo Zino, CFA

### July 17, 2023

12:26 PM ET... CFRA Maintains Buy Opinion on Shares of Meta Platforms, Inc. [META 294.10\*\*\*\*]:

META's Thread [Twitter competitor] has reached 100M users in just five days, making it the fastest offering to ever hit that mark [e.g., ChatGPT two months and TikTok nine months]. We believe META has done a phenomenal job launching/timing Threads, with the early success almost entirely attributable to META leveraging Instagram to easily sign up consumers. More important will be whether META can retain users and get consumers to engage at levels that not even Twitter has been able to successfully do at this point. At the very least, the exponential growth in users in such a short period should help drive more influencers to the platform and encourage enterprise companies to utilize Threads as a new mechanism to brand themselves. We are becoming increasingly confident that Threads could become a key revenue generator for the company by 2025-2026, but still temper our expectations given the infancy of the offering and our initial concerns that regulatory scrutiny in the EU could slow progression in that region. / Angelo Zino, CFA

### July 06, 2023

07:43 AM ET... CFRA Maintains Buy Opinion on Shares of Meta Platforms [META 294.37\*\*\*\*]:

META releases Threads, its standalone Twitter competitor based on Instagram's account system. Some features that differentiate Threads include posts that can be up to 500 characters [280 on Twitter] and include photos/videos up to five minutes long. Although we don't forecast revenue from Threads over the next 18-24 months [no ads on the platform for now], we think META will find success penetrating the new category, as it leverages nearly 2B MAUs on Instagram [about 250M on Twitter]. Over 10M people have already signed up for Threads in the first seven hours; we see this figure growing exponentially in the coming months. That said, exclusion from the EU initially [regulatory changes from DMA] will temper upside potential for now. We believe META timed the launch well given a slew of issues at Twitter since Musk's takeover and appetite for many to have an alternative option. Meta plans to make Threads compatible with ActivityPub over time. We boost our 12-month target to \$350 from \$300, 22.6x our '25 EPS view. / Angelo Zino, CFA

### June 08, 2023

01:34 PM ET... CFRA Keeps Buy Opinion on Shares of Meta Platforms, Inc. [META 266.57\*\*\*\*]:

We increase our 12-month target price to \$300 from \$268 on a P/E of 20.4x our '24 EPS view, below META's historical average to reflect our view that digital ad growth rates are likely to be more tempered [mid- to high-single-digit percentage growth in the next three years]. We up our '23 EPS to \$11.90 from \$10.33, '24 to \$14.67 from \$13.40, and '25 to \$15.50 from \$14.70. We have been impressed by META's recent initiatives to scale its AI infrastructure [see May 19 note], as its more AI-driven platform will have the ability to increase consumer engagement levels and ROI for advertisers. Although we believe cost cutting efforts are largely complete, we see upside from margins/earnings leverage as new headcount only incrementally grows [well below revenue growth]. We think valuation remains attractive given net cash of about \$34B [including long-term investments] and FCF potential [+30B in '24], while easier comps and growth initiatives [Reels, click-to-message ads, AI,

metaverse] help sales accelerate in 2H. / Angelo Zino, CFA

### June 01, 2023

01:03 PM ET... CFRA Maintains Buy Opinion on Shares of Meta Platforms, Inc. [META 271.00\*\*\*\*]:

In a likely slap in the face to Apple, META unveils the Quest 3 just days before Apple's WWDC [starting June 5], where the company is expected to unveil its entry into the mixed reality headset market. The Quest 3 will be priced starting at \$499, with shipping to start ahead of the holiday selling season this fall, while its legacy Quest 2 headset will see a price reduction to \$299. The Quest 3 is seen packing a redesigned Touch Plus controller, 40% slimmer optic profile, and next gen Snapdragon processor. Although we think META's announcement could help stimulate 2H sales within its Reality Labs business, the bigger issue remains losses from that cash burning business. Regardless, we think front running Apple's event and timing the roll-out this fall [likely at the same time as Apple] could ultimately prove to be a good move as Apple's entry into new markets have historically translated to greater adoption for comparable offerings [META's headsets are mainstream; Apple is unlikely to have a mainstream one]. / Angelo Zino, CFA

### May 22, 2023

07:52 AM ET... CFRA Keeps Buy Recommendation on Shares of Meta Platforms, Inc. [META 245.64\*\*\*\*]:

META was fined \$1.3B by the EU, a record by the region, which it will appeal. More important, EU regulators say that over the next six months, META must stop sending content about European Facebook users to the U.S. and delete prior data sent. The EU says META has illegally stored data about European users on U.S. servers for years. These orders could be avoided if the U.S./EU can complete a trans-Atlantic agreement to allow data transfers before then. The failure of a deal would put META's Europe exposure at risk [22% of total Q1 sales] where it has over 250M Facebook users. That said, we believe the most likely scenario is the U.S./Europe come to an agreement as the inability to do so would create a bad precedent for others [META's non-Facebook businesses would also be at risk]. In the dire and unlikely [at least in our view] event a deal doesn't come to fruition, META could be forced to refrain from offering services in the EU [reconfiguring its entire ecosystem extremely costly]. META has \$34B in net cash. / Angelo Zino, CFA

### May 19, 2023

01:44 AM ET... CFRA Maintains Buy on Shares of Meta Platforms, Inc. [META 246.85\*\*\*\*]:

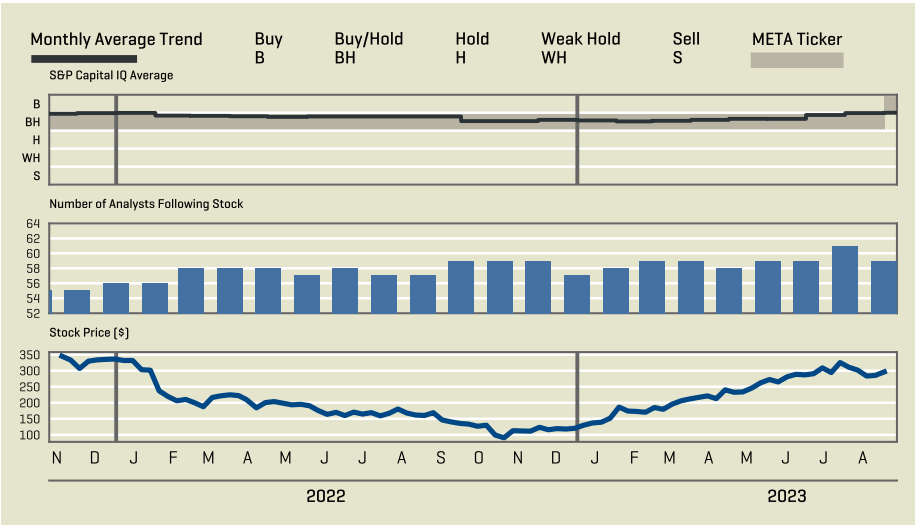
META hosted its AI Infra@Scale event, offering insights on data center AI hardware/software. META announces a new data center design intended for AI training/inference, which will leverage its internally designed ASIC chip, MTIA [Meta training and inference accelerator] on 7nm. META also cites the completion of its Research Supercluster [RSC], an AI supercomputer that contains 2,000 Nvidia DGX A100 systems [16,000 Nvidia A100 GPUs] meant to help train LLMs, large language models [LLaMA], unveiled in February. META also develops an AI coding assistant like Microsoft's Copilot. While META appears to be making progress through aggressive capex as it looks to catch the likes of Alphabet/Microsoft on the infrastructure side and LLMs, it still lags both. Where we think META stands out in a unique way versus others is through its open source approach [OpenAI/GOOGL closed], which we think will help its offerings stay leading edge/learn faster while also making customer integration of products easier. / Angelo Zino, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.



Meta Platforms, Inc.

Analysts Recommendations



|            | No. of Recommendations | % of Total | 1 Mo.Prior | 3 Mos.Prior |
|------------|------------------------|------------|------------|-------------|
| Buy        | 38                     | 64         | 38         | 35          |
| Buy/Hold   | 10                     | 17         | 10         | 11          |
| Hold       | 6                      | 10         | 6          | 7           |
| Weak hold  | 2                      | 3          | 2          | 2           |
| Sell       | 0                      | 0          | 0          | 1           |
| No Opinion | 3                      | 5          | 3          | 3           |
| Total      | 59                     | 100        | 59         | 59          |

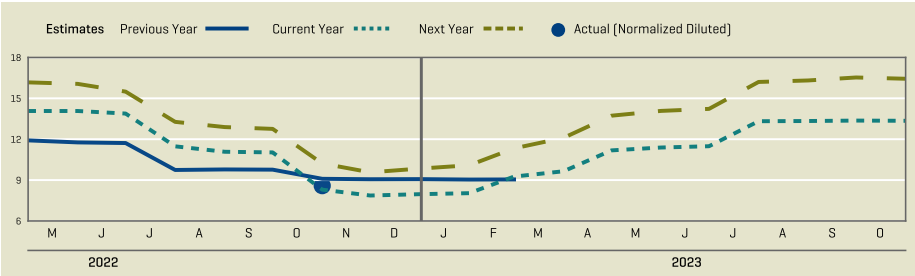
Wall Street Consensus Opinion

Buy

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that META will earn USD 13.35. For fiscal year 2024, analysts estimate that META's earnings per share will grow by 23.14% to USD 16.44.

Wall Street Consensus Estimates



| Fiscal Year     | Avg Est. | High Est. | Low Est. | # of Est. | Est. P/E |
|-----------------|----------|-----------|----------|-----------|----------|
| 2024            | 16.44    | 19.44     | 12.85    | 35        | 18.54    |
| 2023            | 13.35    | 14.64     | 11.69    | 36        | 22.83    |
| 2024 vs. 2023   | ▲ 23%    | ▲ 33%     | ▲ 10%    | ▼ -3%     | ▼ -19%   |
| Q3'24           | 4.16     | 4.79      | 3.57     | 13        | 73.34    |
| Q3'23           | 3.58     | 4.27      | 2.76     | 29        | 85.05    |
| Q3'24 vs. Q3'23 | ▲ 16%    | ▲ 12%     | ▲ 30%    | ▼ -55%    | ▼ -14%   |

Forecasts are not reliable indicator of future performance.  
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.  
**Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.**

# Meta Platforms, Inc.

## Glossary

### STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

### S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

|               |                     |
|---------------|---------------------|
| A+ Highest    | B Below Average     |
| A High        | B- Lower            |
| A Above       | C Lowest            |
| B+ Average    | D In Reorganization |
| NC Not Ranked |                     |

### EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

### 12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

### Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

**Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).**

### Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

### STARS Ranking system and definition:

#### ★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

#### ★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

### Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



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### Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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### STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

| Ranking | North America | Europe | Asia   | Global |
|---------|---------------|--------|--------|--------|
| Buy     | 36.8%         | 34.5%  | 41.6%  | 37.4%  |
| Hold    | 53.8%         | 51.2%  | 50.3%  | 52.6%  |
| Sell    | 9.4%          | 14.3%  | 8.1%   | 10.1%  |
| Total   | 100.0%        | 100.0% | 100.0% | 100.0% |

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